

BUSINESS PLAN

Mankayane Feed Storage Facility, Breeding Cattle
& Feed Production Equipment

Applicant	Sibusiso Mavuso
Applicant Type	Individual Farmer (Existing)
Location	Mankayane Area, Manzini Region, Eswatini
Priority Value Chain	LIVESTOCK — Beef
Loan Type	EADF Medium-Term Loan

EADF Loan Requested	Own Contribution	Total Project Cost
E780,000	E150,000 (16.1%)	E930,000

March 2026

Prepared for the Eswatini Agriculture Development Fund (EADF)
Kingdom of Eswatini

BUSINESS PLAN

Sibusiso Mavuso — Mankayane Feedlot Project

EXECUTIVE SUMMARY

Project Name	Mankayane Feed Storage & Cattle Breeding Project
Applicant	Sibusiso Mavuso (Individual Farmer)
Location	Mankayane Area, Manzini Region, Kingdom of Eswatini
EADF Loan Requested	E780,000 (Medium-Term Loan)
Own Contribution	E150,000 (16.1% — existing infrastructure & cash)
Total Project Cost	E930,000
Priority Value Chain	LIVESTOCK — Beef (EADF Priority Commodity)
Loan Repayment	48 months, structured per business cash flows

I, **Sibusiso Mavuso**, am an existing cattle feedlot farmer based in the Mankayane area seeking a medium-term loan from the EADF to expand my feedlot operations. I **already have feedlot infrastructure in place** (kraals, fencing, water system, handling crush). This application focuses on three investments to improve efficiency, reduce costs, and build a self-sustaining operation:

- Feed Storage Facility (E550,000)** — A 300 m² steel-frame building to enable bulk feed purchasing and eliminate 15–20% spoilage losses
- 10 Breeding Cows + 1 Bull (E150,000)** — To create a self-sustaining calf pipeline, reducing dependency on purchasing weaners from the market
- Feed Production Machine (E100,000)** — A hammer mill and feed mixer to produce own cattle feed at 30–50% less than buying commercial concentrate

Key Highlights:

- ✓ Proven track record — existing profitable feedlot already operational
- ✓ Infrastructure already in place — kraals, fencing, water, crush (E150,000+)
- ✓ Qualified — Accountant by training, with agricultural advisory support
- ✓ Priority value chain — Beef livestock is an EADF priority commodity
- ✓ FMD recovery — Mankayane area improved, opportunity to invest
- ✓ Strong repayment — DSCR 2.5x+, loan fully repaid by Month 48
- ✓ Feed machine pays for itself in 9–14 months from savings alone

1. ABOUT THE APPLICANT

1.1 Personal Profile

Full Name	Sibusiso Mavuso
ID Number	[To be completed]
Qualification	Accountant by training
Home Area	Lushikishini, kaMavuso, Phondo Inkhundla (Chief Somtsewu)
Project Location	Mankayane Area, Manzini Region
Farming Experience	Active cattle feedlot farmer with existing operations
Phone	[To be completed]
Email	[To be completed]

1.2 Background & Experience

I am an accountant by profession who ventured into commercial cattle farming. I established a cattle feedlot at Mankayane, investing personal resources to build kraals, fencing, a water system, and a handling crush. My feedlot currently operates on a rotational batch model — purchasing weaners, finishing them over 90–120 days, and selling to abattoirs.

My accounting background provides me with strong financial management skills — budgeting, cash flow control, and cost analysis — which are essential to running a profitable feedlot enterprise.

Existing Operations (Already in Place):

- Feedlot kraals with capacity for 30–40 cattle (already constructed)
- Rotational batch feeding model — purchasing weaners, finishing over 90–120 days, selling to abattoirs
- Established buyer relationships — abattoirs collect cattle on-site
- Handling crush, fencing, and water system installed

- Generating monthly income from cattle sales

This demonstrates I am an **existing farmer** with **proven infrastructure and operational experience**.

1.3 Support Team

While this is an individual application, I work with qualified support to ensure technical excellence:

Name	Role	Qualification
Sanele Dlamini	Agricultural Advisor (Feed formulation, herd health)	BSc Agriculture (UNESWA)
Zakhele Dlamini	Environmental Compliance Advisory	Environmentalist
Seluleko Ndwandwe	Operations / Cattle Handler (Employee)	Hands-on cattle experience

2. PROJECT DESCRIPTION

2.1 What I Already Have (NOT part of this application)

I have already invested the following at the Mankayane site:

Existing Infrastructure	Status	Estimated Value
Feedlot kraals (3 units, 10 cattle each)	✓ Built	E60,000
Handling crush and loading ramp	✓ Installed	E15,000
Water system (tank, pipes, troughs)	✓ Installed	E25,000
Perimeter and camp fencing	✓ Installed	E35,000
Feeding troughs	✓ In place	E15,000
Total Existing Infrastructure		E150,000

This forms my own contribution to the project.

2.2 What I Am Applying For

COMPONENT 1: Feed Storage Facility — E550,000

The Problem: Feed must be purchased frequently in small quantities at retail prices. Without proper storage, feed is exposed to rain, moisture, rodents, and insects, causing spoilage losses of 15–20%. I cannot take advantage of seasonal bulk pricing.

The Solution: A purpose-built 300 m² agricultural storage facility.

Feature	Specification
Type	Steel-frame agricultural storage building
Size	20m × 15m = 300 m ²
Height	4.5m to eaves
Foundation	Reinforced concrete slab (150mm)
Walls & Roof	IBR corrugated steel sheeting (0.5mm galvanized)
Doors	2 × double sliding doors (3m wide) for vehicle access
Ventilation	Ridge vents + side louvers to prevent moisture buildup
Floor	Sealed concrete — rodent-proof
Electrical	LED lighting, power points for feed machine
Capacity	80–100 tonnes of feed (3–4 months supply)

Benefits:

- Eliminate 15–20% feed spoilage → saves E3,000–E5,000/month
- Bulk purchasing at 20–30% discount → saves E5,000–E7,000/month
- Seasonal purchasing when prices are lowest
- Secure storage for equipment, medicines, and supplies
- Houses the feed production machine (Component 3)
- Permanent asset with 30+ year lifespan

COMPONENT 2: Breeding Cattle — E150,000

The Problem: All cattle must be purchased as weaners from the market at E6,000–E7,500 per head. Prices fluctuate, supply is not guaranteed, and this is a significant ongoing cash outflow.

The Solution: Purchase 10 breeding cows and 1 quality breeding bull.

Item	Specification	Qty	Price (E)	Total (E)
Breeding cows	Nguni/Brahman cross, 3–5 yrs, proven breeders	10	12,000	120,000
Breeding bull	Brahman/Beefmaster, 2–3 yrs, fertility tested	1	30,000	30,000
Total Breeding Cattle				E150,000

Expected Output:

- Calving rate: 80–85% → 8–9 calves per year
- Calves go straight into the feedlot for finishing
- Value of calves: 8 × E6,500 = **E52,000/year saved** on weaner purchases
- Breeding herd is a growing, appreciating asset

COMPONENT 3: Feed Production Machine — E100,000

The Problem: Commercial cattle feed concentrate costs E15–E20 per animal per day. For 30–40 cattle, feed is the single largest expense (E13,500–E24,000/month). Buying ready-made feed means paying for processing, packaging, transport, and retailer margins.

The Solution: A hammer mill and feed mixer to produce own cattle feed on-site.

Machine	Specification	Purpose	Price (E)
Hammer mill	7.5–11 kW electric motor, 500–1,000 kg/hr	Grind maize, crop residues, hay into fine meal	45,000
Feed mixer	Horizontal/vertical, 500 kg batch	Mix ground ingredients into balanced ration	40,000
Accessories	Screens, bags, scale, spare parts	Support operations	10,000
Installation	Electrical connection, concrete pad	Setup inside storage facility	5,000
Total Feed Machine			E100,000

Home-Mixed Feed Recipe (per tonne)

Ingredient	% of Mix	Cost/tonne (E)	Source
Maize meal (ground)	50%	2,500	Local farmers, mills
Hay/grass meal (ground)	25%	800	Own production, nearby farms
Cotton seed cake / soya	15%	2,000	Feed suppliers
Molasses	8%	600	Sugar mills (Simunye, Big Bend)
Mineral premix	2%	1,500	Vet/agri suppliers
Blended cost per tonne	100%	~E2,200	

Cost Comparison: Buy vs. Make

Feed Source	Cost/kg (E)	Cost/animal/day (3.5 kg)	Monthly (30 cattle)
Commercial concentrate (buy)	5.00–6.00	17.50–21.00	E15,750–E18,900
Home-mixed (own machine)	2.20–3.00	7.70–10.50	E6,930–E9,450
Monthly savings			E7,000–E11,000
Annual savings			E84,000–E132,000

The feed machine pays for itself in 9–14 months from feed cost savings alone. After that, the savings go straight to profit.

3. MARKET ANALYSIS

3.1 Beef Market Prices (Eswatini 2025/2026)

Category	Weight Range	Price/kg (live)	Price/head
Weaner calves (purchase)	180–220 kg	E28–35/kg	E5,000–7,700
Breeding cows (purchase)	400–500 kg	E25–30/kg	E10,000–15,000
Finished cattle (sale)	380–450 kg	E32–40/kg	E12,160–18,000
Average sale price used	~410 kg	E34/kg	E14,000

3.2 Target Buyers

- **Primary:** Abattoirs — collect from farm (no transport cost)
- **Secondary:** Butcheries in Mankayane and Manzini
- **Tertiary:** Live cattle sales to other farmers; feed sales to neighbours

3.3 Additional Revenue: Feed Sales

With the feed machine, I can sell home-mixed feed to neighbouring farmers:

Item	Estimate
Price per 50 kg bag (home-mixed)	E150–E180
Commercial equivalent price	E250–E350
Potential monthly sales	20–40 bags
Additional monthly income	E3,000–E7,200

4. OPERATIONS PLAN

4.1 Feedlot Production Cycle (Existing — Already Running)

Phase	Duration	Activity
Purchase	Week 1	Buy 10 weaner calves (avg 200 kg)
Adaptation	Weeks 1-2	Gradual feed transition, vaccinations, deworming
Intensive feeding	Weeks 2-12	Daily feeding: roughage + concentrate + minerals
Finishing	Weeks 12-14	Increase energy for marbling
Sale	Weeks 14-16	Market to abattoir, buyer collects
Reset	Week 17	Clean kraal, purchase new batch

4.2 How This Loan Improves Operations

Current Situation	After EADF Investment
Buy feed in small amounts at retail prices	Buy bulk, store 3-4 months, make own feed
15-20% feed spoilage	<3% spoilage in sealed storage
Pay E5-6/kg for commercial concentrate	Make own at E2.20-3.00/kg (40-50% less)
Buy ALL weaners from market	Breed 8-9 own calves/year (saving E52,000+)
Single cost structure, high expenses	Diversified: feed sales + breeding + feedlot

4.3 Breeding Herd Management

Activity	Schedule
Natural mating	Year-round (bull runs with cows)
Expected calving	8-9 calves per year
Weaning age	6-8 months (180-200 kg)
Calf destination	Transfer to feedlot for finishing
Supplementary feeding	Dry season — home-mixed from own machine
Veterinary care	FMD vaccination, dipping, deworming

4.4 Feed Production

Activity	Schedule
Raw material purchasing	Monthly (maize, cotton cake, molasses)
Milling and mixing	2-3 days per week
Batch size	500 kg per mix
Monthly production	4-6 tonnes
Quality control	Sanele Dlamini (BSc Agriculture) oversees formulations

4.5 Animal Health

- **FMD vaccination** — critical for Mankayane area, strict MVA compliance
- **Lumpy Skin Disease, Blackleg, Anthrax** — routine vaccination
- **Deworming** at entry and mid-cycle; **Dipping** fortnightly
- **Daily monitoring** for early disease detection
- **Veterinary support** — government vet services + private on-call

5. FINANCIAL PROJECTIONS

5.1 Capital Requirements

Item	Cost (E)
A. FEED STORAGE FACILITY	
Concrete foundation/slab (300 m²)	120,000
Steel frame structure	180,000
IBR sheeting (walls + roof)	95,000
Sliding doors (2 × double)	30,000
Ventilation system	10,000
Electrical installation	25,000
Gutters, downpipes, stormwater	15,000
Construction labour	75,000
Subtotal — Storage Facility	550,000
B. BREEDING CATTLE	
10 × Breeding cows (Nguni/Brahman, proven)	120,000
1 × Breeding bull (Brahman/Beefmaster, fertility tested)	30,000
Subtotal — Breeding Cattle	150,000
C. FEED PRODUCTION MACHINE	
Hammer mill (7.5–11 kW, 500–1,000 kg/hr)	45,000
Feed mixer (500 kg batch capacity)	40,000
Accessories (screens, bags, scale, spares)	10,000
Installation & commissioning	5,000
Subtotal — Feed Machine	100,000
D. OPERATING CAPITAL	
Raw feed materials (3 months: maize, cotton cake, molasses, minerals)	50,000
Hay/roughage (3 months supply)	20,000
Veterinary supplies & medicines	15,000
Transport (cattle purchases, raw materials)	10,000
Contingency	5,000
Subtotal — Operating Capital	100,000
E. PROFESSIONAL FEES	
Structural engineer (storage facility drawings)	15,000
Environmental compliance	10,000
Legal fees	5,000
Subtotal — Professional Fees	30,000
TOTAL PROJECT COST	E930,000

5.2 Funding Structure

Source	Amount (E)	%
EADF Medium-Term Loan	780,000	83.9%
Own Contribution (Sibusiso Mavuso)	150,000	16.1%
Total	E930,000	100%

Own Contribution Breakdown:

Item	Value (E)
Existing feedlot kraals (3 units)	60,000
Existing fencing and water system	35,000

Existing handling crush, troughs, equipment	25,000
Cash reserves from current operations	30,000
Total Own Contribution	E150,000

5.3 Monthly Profit (Full Operation — Month 7 onwards)

Item	Monthly (E)
REVENUE	
Sale of 10 finished cattle (10 × E14,000)	140,000
Feed sales to neighbours (conservative: 20 bags × E160)	3,200
Total Revenue	143,200
COSTS	
Replacement weaners (approx 9 bought + ~1 own calf*)	58,500
Feed — feedlot cattle (home-mixed, bulk rate)	9,450
Feed — roughage/hay (bulk stored)	4,800
Feed — breeding herd (dry season average)	1,500
Raw materials for feed machine	6,000
Veterinary & medicines	3,500
Electricity (feed machine + storage)	1,500
Utilities & miscellaneous	2,000
Transport	2,000
Casual labour (2 herders)	3,600
Total Costs	92,850
PROFIT	
Gross Profit	50,350
EADF Loan Repayment	(15,000)
Emergency / Maintenance Fund (10%)	(5,035)
Net Profit (Owner's Income)	E30,315 / month

* From Year 2, breeding herd produces calves — reducing weaner purchases further, increasing profit.

5.4 Loan Repayment Schedule

Period	Monthly Payment (E)	Total for Period (E)	Reason
Months 1-6	0	0	Grace period — construction, no revenue yet
Months 7-12	15,000	90,000	Ramp-up phase
Months 13-24	20,000	240,000	Full operation
Months 25-36	25,000	300,000	Breeding herd producing calves
Months 37-48	30,000	300,000	Accelerated final repayment
Total Repaid		~E930,000	Principal E780,000 + Interest ~E150,000

5.5 Key Financial Indicators

Indicator	Value
Total Investment	E930,000
EADF Loan	E780,000
Monthly Gross Profit (full ops)	E50,350
Monthly Net Profit (owner's income)	E30,315
Debt Service Coverage Ratio	2.5x (Months 7-12) / 3.4x (at full operation)
Break-even Animals per Month	7 cattle
Safety Margin	30% (3 cattle above break-even)
Feed machine payback	9-14 months (from savings)

Breeding herd annual value	E52,000+ in calves
Loan fully repaid	Month 48 (Year 4)
Year 5 annual profit (loan-free)	E736,600

6. RISK ANALYSIS & MITIGATION

Risk	Likelihood	Impact	Mitigation
FMD recurrence	Medium	High	FMD vaccination, strict MVA compliance, quarantine, early reporting
Cattle disease	Medium	High	Full vaccination programme, daily monitoring, isolation facilities
Feed price inflation	Medium	Medium	Own feed machine + storage — shielded from market price swings
Loan default	Low	High	Conservative repayment, dual income streams, DSCR 2.5x+
Machine breakdown	Low	Medium	Quality equipment, spare parts in stock, maintenance schedule
Drought	Medium	Medium	3–4 months feed in storage, alternative raw material sourcing
Theft	Low	High	Security fencing (existing), community watch, branded cattle
Market price drop	Low	Medium	Quality cattle for premium prices, multiple buyers

7. FMD MANAGEMENT — MANKAYANE AREA

The Mankayane area was previously an FMD-affected zone. The situation has **substantially improved**, with movement restrictions progressively eased and vaccination campaigns completed.

My FMD Protocol:

1. All cattle vaccinated against FMD upon arrival
2. Movement permits obtained for all cattle movements
3. Strict compliance with veterinary cordon regulations
4. Regular inspections by Department of Veterinary Services
5. On-site isolation/quarantine area
6. Daily health monitoring and immediate reporting
7. Full cooperation with all government disease control measures

8. ALIGNMENT WITH EADF

EADF Objective	How This Project Aligns
Catalyze investments along priority value chains	Beef livestock is a priority commodity
Facilitate strategic government investments	Supports ENAIP goals for livestock development & food security
Mobilize additional resources	Applicant contributes E150,000 own resources
Streamline financial investments in agri value chains	Integrated: breeding → feeding → finishing → sale

EADF Investment Area	Project Component
On-farm Infrastructure	Feed storage facility (300 m²)
Equipment and/or implements	Hammer mill + feed mixer
Production inputs	Breeding cattle (10 cows + 1 bull)

9. IMPLEMENTATION TIMELINE

Month	Activity	Milestone
1	Loan disbursement, engineering drawings, site prep	✓ Funding secured
2	Foundation and slab for storage facility	
3	Steel frame erection; purchase breeding cattle (10 cows + 1 bull)	✓ Cattle on-site
4	Complete storage (roof, doors, electrical)	✓ Storage complete
5	Install feed machine; first bulk feed purchase; begin feed production	✓ Feed machine running
6	First batch of finished cattle sold	✓ First revenue
7	Full operation begins; loan repayment starts	✓ Repayment starts
8+	Steady-state: sell 10 cattle/month, produce own feed, breed calves	✓ Ongoing operations

10. SOCIAL & ECONOMIC IMPACT

Beneficiary	Impact
Sibusiso Mavuso (Owner)	E30,315/month net income — sustainable agricultural livelihood
Mavuso household & dependents	Improved livelihoods — school fees, healthcare, nutrition
2-3 Employees (herders, casual workers)	New jobs at E1,800/month each
Mankayane community	Economic activity, market for fodder/crop residues, affordable feed sales
Neighbouring farmers	Access to affordable home-mixed feed (30-50% cheaper)
FMD recovery area	Demonstrates cattle ops are viable again, encourages reinvestment

11. CONCLUSION

- ✓ **Existing infrastructure** — Feedlot kraals, fencing, water, crush already built
- ✓ **Proven operator** — Profitable feedlot operation already running
- ✓ **Qualified applicant** — Accountant with strong financial management skills
- ✓ **Smart investments** — Storage + feed machine + breeding cattle all reduce long-term costs
- ✓ **Priority sector** — Beef livestock is an EADF priority commodity
- ✓ **Strong repayment** — DSCR 2.5x+, loan repaid by Year 4
- ✓ **Self-sustaining** — After loan, produces own feed and breeds own calves
- ✓ **Community impact** — Creates jobs and provides affordable feed to neighbours

I respectfully request the EADF to approve my medium-term loan of **E780,000** to complete this project and contribute to national agricultural development.

Applicant: Sibusiso Mavuso
ID Number: [To be completed]
Phone: [To be completed] | **Email:** [To be completed]
Location: Mankayane Area, Manzini Region

Prepared March 2026 for the Eswatini Agriculture Development Fund (EADF), Kingdom of Eswatini